

Amāna Bank



10 years
of people friendly banking

Amana Bank PLC (PB 3618 PQ)

Interim Financial Statements

30 September 2022

Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

Mission

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.

STATEMENT OF PROFIT OR LOSS

FOR THE PERIOD ENDED

	FOR THE NINE MONTHS ENDED 30 SEPTEMBER			FOR THE QUARTER ENDED 30 SEPTEMBER		
	2022 (Rs '000)	2021 (Rs '000)	Change %	2022 (Rs '000)	2021 (Rs '000)	Change %
Financing Income	8,091,846	5,604,556	44%	3,239,600	2,020,761	60%
Financing Expenses	(4,987,935)	(2,433,082)	105%	(2,138,896)	(844,164)	153%
Net Financing Income	3,103,911	3,171,474	(2%)	1,100,704	1,176,597	(6%)
Net Fee and Commission Income	516,229	252,103	105%	230,952	67,633	241%
Net Trading Income	637,146	(107,426)	693%	212,544	(165,348)	229%
Net Gains / (Losses) from Financial Investments at Fair Value through Profit or Loss	(7,934)	(5,832)	36%	18,821	(7,106)	365%
Net Gains / (Losses) from Derecognition of Financial Assets	(257)	981	(126%)	(111)	6	1,950%
Net Other Operating Income	3,001	3,373	(11%)	73	484	(85%)
Total Operating Income	4,252,096	3,314,673	28%	1,562,983	1,072,266	46%
Impairment Charges	(758,563)	(413,963)	83%	(264,155)	(140,027)	89%
Net Operating Income	3,493,533	2,900,710	20%	1,298,828	932,239	39%
Personnel Expenses	1,095,968	1,015,548	8%	370,866	339,884	9%
Depreciation and Amortisation of Property, Plant, Equipment and Right-of-Use Assets	226,747	238,555	(5%)	75,469	79,439	(5%)
Other Operating Expenses	846,791	642,714	32%	310,145	218,277	42%
Total Operating Expenses	2,169,506	1,896,817	14%	756,480	637,600	19%
Operating Profit Before Value Added Tax on Financial Services	1,324,027	1,003,893	32%	542,348	294,639	84%
Value Added Tax on Financial Services	(384,039)	(267,640)	43%	(159,306)	(64,089)	149%
Profit Before Tax	939,988	736,253	28%	383,042	230,550	66%
Tax Expenses	(339,495)	(303,046)	12%	(144,564)	(86,609)	67%
Profit for the Period	600,493	433,207	39%	238,478	143,941	66%
Earnings Per Share - Basic / Diluted (in Rs.)	0.22	0.16	39%	0.09	0.05	66%

STATEMENT OF COMPREHENSIVE INCOME

FOR THE PERIOD ENDED

	FOR THE NINE MONTHS ENDED 30 SEPTEMBER			FOR THE QUARTER ENDED 30 SEPTEMBER		
	2022 (Rs '000)	2021 (Rs '000)	Change %	2022 (Rs '000)	2021 (Rs '000)	Change %
Profit for the Period	600,493	433,207	39%	238,478	143,941	66%
Other Comprehensive Income/(Loss)						
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:						
Financial Assets - Fair Value through Other Comprehensive Income:						
Net Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	(16,206)	(35,112)	(54%)	64,822	13,505	380%
Deferred Tax Effect on Revaluation Surplus (Net)	-	44,883	(100%)	-	-	-
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:	(16,206)	9,771	266%	64,822	13,505	380%
Other Comprehensive Income / (Loss) for the Period Net of Tax	(16,206)	9,771	266%	64,822	13,505	380%
Total Comprehensive Income for the Period	584,287	442,978	32%	303,300	157,446	93%

STATEMENT OF FINANCIAL POSITION

AS AT

	30 SEP 2022 (Rs' 000)	31 DEC 2021 (AUDITED) (Rs' 000)	Change %
Assets			
Cash and Cash Equivalents	21,147,560	8,673,811	144%
Balances with Central Bank of Sri Lanka	4,683,676	4,800,027	(2%)
Placements with Banks	27,786,534	27,302,269	2%
Placements with Licensed Finance Companies	76	73	4%
Derivative Financial Assets	71,953	510,066	(86%)
Financial Assets Designated at Fair Value through Profit or Loss	79,652	64,634	23%
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	83,434,232	75,816,397	10%
Financial Assets Measured at Fair Value through Other Comprehensive Income	329,804	346,010	(5%)
Other Assets - Financial	2,194,363	1,213,996	81%
Property, Plant, Equipment And Right-of-Use Assets	2,267,630	2,447,150	(7%)
Intangible Assets	219,217	232,835	(6%)
Other Assets - Non Financial	592,227	449,563	32%
Deferred Tax Assets	52,072	52,072	-
Total Assets	142,858,996	121,908,903	17%
Liabilities			
Due to Banks	16,203,434	9,009,986	80%
Derivative Financial Liabilities	12,000	783,200	(98%)
Financial Liabilities at Amortised Cost - Due to Depositors	109,724,034	96,157,776	14%
Other Liabilities - Financial	2,042,830	1,696,127	20%
Current Tax Liabilities	419,480	419,795	(0%)
Dividend Payable	6,399	6,459	(1%)
Retirement Benefit Liability	141,022	131,081	8%
Other Liabilities - Non Financial	86,976	65,945	32%
Total Liabilities	128,636,175	108,270,369	19%
Shareholders' Funds			
Stated Capital	11,079,706	11,079,706	-
Statutory Reserve Fund	157,693	157,693	-
Revaluation Reserve	1,076,688	1,076,688	-
Fair Value Reserve	82,692	98,898	(16%)
Retained Earnings	1,826,042	1,225,549	49%
Total Equity	14,222,821	13,638,534	4%
Total Liabilities and Shareholders' Funds	142,858,996	121,908,903	17%
Net Asset Value per Ordinary Share	5.29	5.07	
Commitments and Contingencies	48,286,655	67,801,327	
Memorandum Information			
Number of Employees	776	777	
Number of Branches	33	33	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No. 07 of 2007.

Signed

M. Ali Wahid

Chief Financial Officer

11 November 2022

We, the undersigned, being Chairman and Managing Director / Chief Executive Officer of Amana Bank PLC certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank unless indicated as audited.

Signed

Ali Asghar Akbarally

Chairman

11 November 2022

Signed

Mohamed Azmeer

Managing Director / Chief Executive Officer

11 November 2022

STATEMENT OF CHANGES IN EQUITY
RUPEES IN THOUSANDS

	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	Fair Value Reserve	Retained Earnings	Total
As at 31 December 2020 (Audited)	10,819,561	116,458	817,457	44,880	668,922	12,467,278
Profit for the nine months ended 30 September 2021	-	-	-	-	433,207	433,207
Total Comprehensive Income for the nine months ended 30 September 2021	-	-	-	9,771	-	9,771
Share Issue Expenses					(200)	(200)
As at 30 September 2021	10,819,561	116,458	817,457	54,651	1,101,929	12,910,056
Scrip Dividend - 2021	260,145				(260,145)	-
Profit for the three months ended 31 December 2021	-	-	-	-	535,432	535,432
Other Comprehensive Income for the three months ended 31 December 2021	-	-	260,317	44,247	(111,518)	193,046
Transfers to Statutory Reserve Fund	-	41,235	-	-	(41,235)	-
Transferred to Retained Earnings	-	-	(1,086)	-	1,086	-
As at 31 December 2021 (Audited)	11,079,706	157,693	1,076,688	98,898	1,225,549	13,638,534
Profit for the nine months ended 30 September 2022	-	-	-	-	600,493	600,493
Total Comprehensive Income for the nine months ended 30 September 2022	-	-	-	(16,206)	-	(16,206)
As at 30 September 2022	11,079,706	157,693	1,076,688	82,692	1,826,042	14,222,821

STATEMENT OF CASH FLOWS

FOR THE NINE MONTHS ENDED 30 SEPTEMBER

	FOR THE NINE MONTHS ENDED 30 SEPTEMBER	
	2022 (Rs. '000)	2021 (Rs. '000)
Cash Flows from Operating Activities		
Financing Income Received	7,956,405	5,451,393
Fees and Commission Received	515,973	286,051
Financing Expenses Paid	(4,841,579)	(2,524,842)
Foreign Exchange Income	637,146	(107,426)
Gratuity Payments Made	(14,234)	(9,217)
Payments to Employees and Suppliers	(2,282,183)	(1,901,126)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	1,971,527	1,194,832
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(8,376,398)	(11,090,875)
Other Assets	(1,123,031)	(1,257,782)
Balance with Central Bank of Sri Lanka	116,351	5,745,590
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	13,449,894	8,374,600
Due to Banks	7,193,448	3,831,568
Other Liabilities	(13,045)	1,061,757
Net Cash Flow from Operating Activities before Income Tax	13,218,746	7,859,690
Income Tax Paid	(339,810)	(376,130)
Net Cash From / (Used In) Operating Activities	12,878,935	7,483,560
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(8,635)	(11,177)
Proceeds from Sale of Property, Plant and Equipment	73	130
Acquisition of Intangible Assets	(24,975)	(27,823)
Investments in Placements with Banks	(350,004)	(11,591,102)
Investments in Placements with Licensed Finance Companies	(3)	1,919,403
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	(22,952)	(3,471)
Dividend Received from Financial Assets	2,928	3,242
Net Cash From / (Used In) Investing Activities	(403,569)	(9,710,796)
Cash Flows From / (Used In) Financing Activities		
Share Issue Expenses	-	(200)
Dividend Paid	(61)	(42)
Net Cash From / (Used In) Financing Activities	(61)	(242)
Net Increase / (Decrease) in Cash and Cash Equivalents	12,475,306	(2,227,478)
Cash and Cash Equivalents at the Beginning of the Year	8,674,644	6,860,503
Cash and Cash Equivalents at the End of the Period - Gross of Allowance for Impairment	21,149,950	4,633,025

CASH AND CASH EQUIVALENTS

FOR THE NINE MONTHS ENDED 30 SEPTEMBER

	2022 (Rs. '000)	2021 (Rs. '000)
Cash in Hand	11,843,935	2,180,441
Balances with Banks	9,306,015	2,452,584
	21,149,950	4,633,025
Less: Allowance for Impairment Losses	(2,391)	(533)
Total	21,147,559	4,632,492

NOTES TO THE FINANCIAL STATEMENTS

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies stated in the Annual Financial Statements describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

RUPEES IN THOUSANDS				
	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 30.9.2022
Financial Assets				
Cash and Cash Equivalents	-	21,147,560	-	21,147,560
Balances with Central Bank of Sri Lanka	-	4,683,676	-	4,683,676
Placements with Banks	-	27,786,534	-	27,786,534
Placements with Licensed Finance Companies	-	76	-	76
Derivative Financial Assets	71,953	-	-	71,953
Financial Assets Designated at Fair Value through Profit or Loss	79,652	-	-	79,652
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	83,434,232	-	83,434,232
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	329,804	329,804
Other Assets - Financial	-	2,194,363	-	2,194,363
Total Financial Assets	151,605	139,246,441	329,804	139,727,850
Financial Liabilities				
Due to Banks	-	16,203,434	-	16,203,434
Derivative Financial Liabilities	12,000	-	-	12,000
Financial Liabilities at Amortised Cost - Due to Depositors	-	109,724,034	-	109,724,034
Other Liabilities - Financial	-	2,042,830	-	2,042,830
Total Financial Liabilities	12,000	127,970,298	-	127,982,298

	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2021 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	8,673,811	-	8,673,811
Balances with Central Bank of Sri Lanka	-	4,800,027	-	4,800,027
Placements with Banks	-	27,302,269	-	27,302,269
Placements with Licensed Finance Companies	-	73	-	73
Derivative Financial Assets	510,066	-	-	510,066
Financial Assets Designated at Fair Value through Profit or Loss	64,634	-	-	64,634
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	75,816,397	-	75,816,397
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	346,010	346,010
Other Assets - Financial	-	1,213,996	-	1,213,996
Total Financial Assets	574,700	117,806,573	346,010	118,727,283
Financial Liabilities				
Due to Banks	-	9,009,986	-	9,009,986
Derivative Financial Liabilities	783,200	-	-	783,200
Financial Liabilities at Amortised Cost - Due to Depositors	-	96,157,776	-	96,157,776
Other Liabilities - Financial	-	1,696,127	-	1,696,127
Total Financial Liabilities	783,200	106,863,889	-	107,647,089

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

RUPEES IN THOUSANDS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS	30.9.2022	31.12.2021 (AUDITED)
Gross Financing and Receivables to Other Customers	86,423,324	78,185,981
Accumulated Impairment		
Stage 1	(645,366)	(876,662)
Stage 2	(1,180,467)	(602,429)
Stage 3	(1,163,259)	(890,493)
Net Financing and Receivables to Other Customers	83,434,232	75,816,397

NOTES TO THE FINANCIAL STATEMENTS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - (Contd...)

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

By Product - Domestic Currency	RUPEES IN THOUSANDS	
	30.9.2022	31.12.2021 (AUDITED)
Overdraft	6,429,076	6,488,707
Trade Finance	790,427	1,117,244
Lease Receivables	4,327,306	4,958,226
Staff Facilities	860,989	812,259
Term Financing	58,697,896	53,222,170
Gold Facilities	10,759,470	7,979,484
Others	612,541	830,894
Sub Total	82,477,705	75,408,984
By Product - Foreign Currency		
Overdraft	24,637	20,061
Term Financing	3,708,087	2,639,988
Trade Finance	71,962	55,750
Others	140,933	61,198
Sub Total	3,945,619	2,776,997
Total	86,423,324	78,185,981

03. IMPAIRMENT ALLOWANCE FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 is as follows:

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
ECL allowance as at 1 January 2022 under SLFRS 9	876,662	602,429	890,493	2,369,584
Charge/(Write Back) for the year	(231,296)	578,038	268,721	615,463
Amounts written off	-	-	4,045	4,045
As at 30 September 2022	645,366	1,180,467	1,163,259	2,989,092

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT (AUDITED)
ECL allowance as at 1 January 2021 under SLFRS 9	353,622	635,181	702,743	1,691,546
Charge/(Write Back) for the year	523,040	(32,752)	282,960	773,248
Amounts written off			(95,210)	(95,210)
As at 31 December 2021	876,662	602,429	890,493	2,369,584

NOTES TO THE FINANCIAL STATEMENTS

04. COMMITMENTS AND CONTINGENCIES

ANALYSIS OF COMMITMENTS AND CONTINGENCIES	RUPEES IN THOUSANDS	
	30.9.2022	31.12.2021 (AUDITED)
Gross Commitments and Contingencies	48,356,483	67,817,283
Accumulated Impairment		
Stage 1	(38,971)	(15,533)
Stage 2	(25,762)	(396)
Stage 3	(5,095)	(27)
Net Financing and Receivables to Other Customers	48,286,655	67,801,327

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	30.9.2022	31.12.2021 (AUDITED)
Commitments for Unutilised Facilities	20,112,295	14,558,407
Letters of Credit	835,606	2,821,717
Guarantees, Bonds	4,039,860	3,379,042
Outward Clearing Cheques	965,897	618,211
Acceptances	3,197,027	2,745,909
Bills for Collection and Others	2,155,546	1,640,159
Promissory Forward Sales	3,749,967	18,641,544
Promissory Forward Purchases	13,300,285	23,412,294
Total	48,356,483	67,817,283

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

ANALYSIS OF DEPOSITS	RUPEES IN THOUSANDS	
	30.9.2022	31.12.2021 (AUDITED)
By Product - Domestic Currency		
Demand Deposits	6,759,154	6,028,381
Savings Deposits	32,841,012	34,538,755
Time Deposits	43,859,760	42,395,296
Sub Total	83,459,926	82,962,432
By Product - Foreign Currency		
Demand Deposits	1,541,013	547,019
Savings Deposits	6,177,480	2,851,566
Time Deposits	18,545,615	9,796,759
Sub Total	26,264,108	13,195,344
Total	109,724,034	96,157,776

NOTES TO THE FINANCIAL STATEMENTS

06. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

- Level 1 Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt instruments.
- Level 2 Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments and debt instruments with significant unobservable components.

RUPEES IN THOUSANDS				
As at 30 September 2022	LEVEL 1	LEVEL 2	LEVEL 3	TOTAL
Financial Assets				
Derivative Financial Assets	-	71,953	-	71,953
Financial Assets Designated at Fair Value through Profit or Loss	79,652	-	-	79,652
Financial Assets Measured at Fair Value through Other Comprehensive Income	326,811	-	2,993	329,804
	406,463	71,953	2,993	481,409
Financial Liabilities				
Derivative Financial Liabilities	-	12,000	-	12,000
	-	12,000	-	12,000

RUPEES IN THOUSANDS				
As at 31 December 2021	LEVEL 1	LEVEL 2	LEVEL 3	TOTAL (AUDITED)
Financial Assets				
Derivative Financial Assets	-	510,066	-	510,066
Financial Assets Designated at Fair Value through Profit or Loss	64,634	-	-	64,634
Financial Assets Measured at Fair Value through Other Comprehensive Income	343,017	-	2,993	346,010
	407,651	510,066	2,993	920,710
Financial Liabilities				
Derivative Financial Liabilities	-	783,200	-	783,200
	-	783,200	-	783,200

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

RUPEES IN THOUSANDS				
	30.9.2022		31.12.2021	
	CARRYING VALUE	FAIR VALUE	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)
Financial Assets				
Cash and Cash Equivalents	21,147,560	21,147,560	8,673,812	8,673,812
Balance with Central Bank of Sri Lanka	4,683,676	4,683,676	4,800,027	4,800,027
Placements with Banks	27,786,534	27,788,829	27,302,269	27,303,384
Placements with Other Companies	76	76	73	73
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	83,434,232	67,910,150	75,816,397	67,951,887
Other Assets - Financial	2,194,363	2,194,363	1,213,996	1,213,996
	139,246,441	123,724,654	117,806,574	109,943,179
Financial Liabilities				
Due to Banks	16,203,434	16,203,434	9,009,986	9,009,986
Financial Liabilities at Amortised Cost - Due to Depositors	109,724,034	109,724,034	96,157,776	96,157,776
Other Liabilities - Financial	2,042,830	2,042,830	1,696,127	1,696,127
	127,970,298	127,970,298	106,863,889	106,863,889

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with maturities of less than 12 months, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 3).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

NOTES TO THE FINANCIAL STATEMENTS

07. SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

	AS AT 30.9.2022	AS AT 31.12.2021 (AUDITED)
Regulatory Capital (LKR '000)		
Common Equity Tier 1 *	11,986,765	12,016,737
Tier 1 Capital	11,986,765	12,016,737
Total Capital	14,016,311	13,764,884
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 7.0%)	11.9%	13.7%
Tier I Capital Ratio (Minimum Requirement 8.5%)	11.9%	13.7%
Total Capital Ratio (Minimum Requirement 12.5%)	13.9%	15.7%
Leverage Ratio % (Minimum Requirement 3%)	7.0%	7.4%
Assets Quality (Quality of Financing and Advance Portfolio)		
Impaired Financing and Advances (Stage 3) Ratio (%)	2.3%	1.7%
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio (%)	32.5%	35.6%
Profitability		
Financing Margin (%)	3.1%	3.8%
Return on Assets (Before Tax)	0.9%	1.0%
Return on Equity	5.8%	6.3%
Regulatory Liquidity		
Statutory Liquid Assets		
- Domestic Banking Unit (Rs. in Millions)	37,457	27,508
- Foreign Currency Banking Unit (USD '000)	2,540	4,099
Statutory Liquid Assets Ratio % (Minimum Requirement 20%)		
- Domestic Banking Unit	30.6%	26.9%
- Off-Shore Banking Unit	36.8%	45.3%
Total Stock of High Quality Liquid Assets (Rs. in Millions)	11,604	7,347
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
- Rupee (%)	274.3%	165.2%
- All Currency (%)	212.7%	118.5%
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	210.9%	191.2%

* This represents Common Equity Tier 1 (CET1) Capital after applicable adjustments. The CET1 Capital before adjustments is as follows:

- 30.9.2022 (LKR '000)	12,462,948
- 31.12.2021 (LKR '000)	12,522,287

NOTES TO THE FINANCIAL STATEMENTS
08. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE YEAR ENDED 30 SEPTEMBER 2022	RUPEES IN THOUSANDS					
	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	UNALLOCATED / ELIMINATION	TOTAL
Income						
Financing Income	2,160,145	4,512,248	6,672,393	1,419,453	-	8,091,846
Net Fee and Commission Income	178,442	333,816	512,258	18,306	(14,335)	516,229
Net Trading Gain	-	-	-	637,146	-	637,146
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	(7,934)	-	(7,934)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(257)	-	(257)
Other Operating Income	-	-	-	3,001	-	3,001
Total Income	2,338,587	4,846,064	7,184,651	2,069,715	(14,335)	9,240,031
Less						
Financing Expenses			(4,096,808)	(861,135)	(29,992)	(4,987,935)
Impairment On Financial Assets			(756,131)	(2,432)	-	(758,563)
Operating Expenses			(1,519,409)	(625,093)	(25,004)	(2,169,506)
Operating Profit Before VAT on Financial Services			812,303	581,055	(69,331)	1,324,027
VAT on Financial Services						(384,039)
Profit Before Tax						939,988
Tax Expenses						(339,495)
Profit After Tax						600,493

Total Assets	26,510,616	56,923,616	83,434,232	49,006,123	10,418,641	142,858,996
Total Liabilities	84,361,199	25,362,835	109,724,034	15,574,603	3,337,538	128,636,175

FOR THE PERIOD ENDED 30 SEPTEMBER 2021	RUPEES IN THOUSANDS					
	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	UNALLOCATED / ELIMINATION	TOTAL
Income						
Financing Income	1,702,463	2,985,411	4,687,874	896,629	20,053	5,604,556
Net Fee and Commission Income	131,255	132,319	263,573	925	(12,395)	252,103
Net Trading Gain	-	-	-	(107,426)	-	(107,426)
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	(5,832)	-	(5,832)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	981	-	981
Other Operating Income	-	-	-	3,373	-	3,373
Total Income	1,833,718	3,117,730	4,951,447	788,650	7,658	5,747,755
Less						
Financing Expenses			(2,380,247)	(22,844)	(29,992)	(2,433,082)
Impairment On Financial Assets			(414,087)	124	-	(413,963)
Operating Expenses			(1,328,432)	(546,524)	(21,861)	(1,896,817)
Operating Profit Before VAT on Financial Services			828,682	219,406	(44,195)	1,003,893
VAT on Financial Services						(267,640)
Profit Before Tax						736,253
Tax Expenses						(303,046)
Profit After Tax						433,207

Total Assets	20,321,355	52,923,115	73,244,471	30,065,901	10,413,600	113,723,972
Total Liabilities	77,637,676	14,199,405	91,837,081	1,144,811	7,832,023	100,813,915

EXPLANATORY NOTES

1. These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
2. The interim condensed Financial Statements do not include all the information and disclosure required in the Annual Financial Statements, and should be read in conjunction with Annual Financial Statements as at 31 December 2021.
3. The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's Annual Financial Statements for the year ended 31 December 2021.
4. There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements other than the following;

On 4 November, the Board of Directors declared an interim scrip dividend of Rs 0.10 per share for the financial year 2022. As required by Section 56 (2) of the Companies Act No. 07 of 2007, the Board of Directors having determined that the Bank satisfied the solvency test in accordance with Section 57 of the Companies Act No. 07 of 2007, will obtain the certificate to this effect from the Bank's auditors, Messrs Ernst & Young. The value of the interim scrip dividend is Rs 269,115,119.

5. Comparative figures have been restated wherever necessary to conform to the current periods presentation.
6. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report of 2021
7. Market Price of Ordinary Shares (the Bank listed its ordinary shares on the Colombo Stock Exchange on 29 January 2014) :

	2022 LKR	2021 LKR
Last Traded Price as at 30 September	3.50	3.10
Highest Market Price during the quarter ended 30 September	3.80	3.50
Lowest Market Price during the quarter ended 30 September	2.60	2.90

EXPLANATORY NOTES

09. Twenty Largest Shareholders as at 30 September 2022

No	Name of Shareholder	No. of Shares	%
1	IB Growth Fund (Labuan) LLP	636,457,256	23.65%
2	Seylan Bank PLC / Senthilveri Holdings (Pvt) Ltd	269,115,120	10.00%
3	Mr. Mohamed Haji Omar	223,527,463	8.31%
4	Bank Islam Malaysia Berhad	194,259,818	7.22%
5	AB Bank Limited	194,259,817	7.22%
6	Islamic Development Bank	170,052,648	6.32%
7	Akbar Brothers Pvt Ltd A/C No 1	169,711,053	6.31%
8	Mr. Farook Kassim	107,320,831	3.99%
9	Hatton National Bank PLC / Almas Organisation(Pvt) Ltd	76,523,803	2.84%
10	Millennium Capital Investments Pte Ltd	75,461,506	2.80%
11	Mr. Shafik Kassim	62,303,952	2.32%
12	Mr. Osman Kassim	50,585,150	1.88%
13	Mr. Sattar Kassim	48,888,361	1.82%
14	Mr. Nagi Saleh Mohammed Al Faqih	40,220,672	1.49%
15	Mr. Sathiyamurthy Chandramohan	32,275,861	1.20%
16	Mr. Ahamed Mihilar Mohamed Fazal Jiffry	15,367,827	0.57%
17	Mr. Saifullah Yusoof	15,000,000	0.56%
18	ABC International Limited	12,824,274	0.48%
19	Mr. Abdul Majeed Mohamedu Risvi	8,598,808	0.32%
20	Mr. Feroz Omar	8,000,337	0.30%
Sub total		2,410,754,557	89.58%
Other Shareholders (Number of Shareholders 8,396)		280,396,637	10.42%
Total		2,691,151,194	100.00%

Percentage of Public Holding as at 30 September 2022	36.44%
Number of Shareholders	8,396
Float adjusted market capitalisation	Rs 3.43 Bn

Bank complies with the minimum public holding requirement under option 4 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

10. Directors' holding in shares as at 30 September 2022

Name	No. of Shares
Mr. Ali Asghar Akbarally	Nil
Mr. Rajiv Dvivedi	Nil
Mr. Dilshan Hettiaratchi	Nil
Mr. Aaron Russell-Davison	Nil
Mr. M Ataur Rahman Chowdhury	Nil
Mr. S M Asim Raza	Nil
Mr. K M P Bin Abdullah	Nil
Mr. Tishan Subasinghe	Nil
Mr. Paul Mercer	Nil
Mr. Omar Farook Kassim	Nil
Mr. Mohamed Adamaly	Nil
Mr. Mohamed Azmeer	537,929